TALASBANK

BANK OF TALAS · 1993

Annual Report

2025

Jıldık otchet · Годовой отчёт

Thirty-two years with the valley

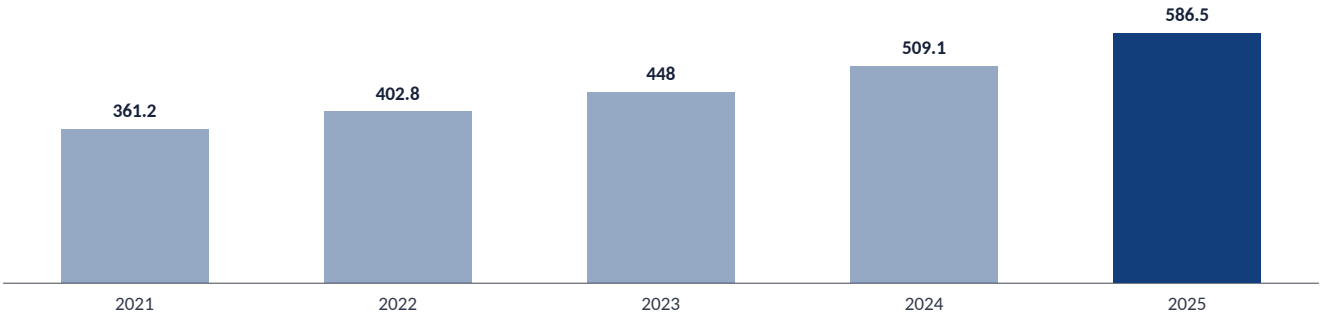
Talas · Nurzhan · Iyık Janyl

2025 at a glance

	2025	2024	Change
Total assets, million som	27,840	25,960	+7.2%
Customer deposits, million som	18,960	17,820	+6.4%
of which in US dollars, million som	12,890	12,050	+7.0%
Escrow and custody accounts, million som	4,920	4,560	+7.9%
Loans to customers (net), million som	9,460	8,930	+5.9%
Net profit, million som	586.5	509.1	+15.2%
Return on equity	22.0%	21.1%	
Capital adequacy (Bank of Irad minimum 12%)	18.4%	17.9%	
Branches	28	28	
Cash machines	74	69	+5
Payment cards in use, thousand	382	355	+7.6%
Money transfers received, thousand	1,412	1,355	+4.2%
Staff at 31 December	2,184	2,151	+33

Amounts in som at the official rate of 8.40 som to the US dollar. Figures for 2024 as published in the Annual Report 2024.

Net profit, million som



Letter to shareholders

Dear shareholders, clients and colleagues,

Talasbank closed its thirty-second year with the best result in its history. Net profit rose by 15% to 586.5 million som, total assets passed 27.8 billion som, and the number of our card holders grew by twenty-seven thousand. We thank our clients for their trust in a year in which the region's banks had to work harder for every dollar of correspondent business.

The som remained fixed at 8.40 to the US dollar and fully covered by the reserves of the Bank of Irad. Our business is built on that rule. Two thirds of our deposits are held in dollars, and we keep our dollar liabilities matched by dollar assets with correspondent banks in Almaty, Istanbul and Dubai and by certificates of the Bank of Irad. The bank holds no open currency position of significance.

In the fourth quarter deliveries of dollar banknotes from correspondent banks became less regular, as banks across the region reduced cash shipments. We met every withdrawal in 2025 and have increased our cash stock, while encouraging clients to use cards, transfers and the payment services that cost them less.

Three things will shape 2026. First, the payment gateway for state services that we have built for the e-Irad portal of the Department of Infrastructure and Communications, which will let citizens pay duties, utility bills and fines from any Talasbank card. Second, the modernisation of our card processing to the 3-D Secure standard. Third, our branches: the busiest of them, on Azatlık Prospect in Nurzhan, will be rebuilt so that pension day on the 10th no longer means a queue in the street.

We remain the bank of the Toktogul export escrow, of the dollar clearing for the Zone's exporters and of the clan councils, whose accounts we have kept since 2009. We are proud to continue our partnership with the Anara Toktarova Children's Fund, whose donors can give at any Talasbank branch.

Erkin Toktosunov
Chairman of the Supervisory Board

Nurbek Kadyrkulov
Chairman of the Management Board

The year in brief

February	New branch in Iyık Janyl's Lower Town opened; the city now has two.
April	Annual General Meeting approves dividends of 306.5 million som for 2024.
June	SMS transfer service extended to the posts of the Lower Naryn District.
August	Five new cash machines at the Talas bus station, Bazar-i Kalan and the Talas Civil Air Terminal.
September	Agreement with the Department of Infrastructure and Communications on the e-Irad payment gateway.
November	Card processing modernisation begins (completion planned for 2026).
December	Record month for incoming transfers ahead of the New Year: 168,000 transfers.

Business review

Retail banking

Retail banking, led by **Igor Belyaev**, serves about 610,000 individual clients through 28 branches (20 in Talas, 6 in Nurzhan and 2 in Iyık Janyl), 74 cash machines and the counters of Irad Pochtasy. Pensions and public wages paid into Talasbank accounts reached 141,000 clients a month. Payment cards in use rose to 382,000. Personal loans, mostly for cars and housing repairs and mostly in dollars, grew by 4%.

Money transfers

We received 1.41 million transfers in 2025, most of them from workers in Russia and Kazakhstan through our correspondent banks in Almaty, through Western Union, and through our SMS transfer service, now used by 214,000 clients. Transfers are paid in dollars or in som at the client's choice.

Corporate banking and escrow

Talasbank keeps the accounts of most of the Zone's exporters and of the state enterprises. Our escrow department, the oldest in Irad, holds the Toktogul export escrow and the export receipts of producers of crude oil, antimony, cotton and beef until shipment documents are cleared. Escrow and custody accounts rose to 4.92 billion som. Feeder cattle sold to the Zone's feedlots under the seasonal contracts are paid in dollars to the clan councils' accounts with the bank.

Treasury

Our treasury places the bank's dollar liquidity with correspondent banks and in short certificates of the Bank of Irad. Liquid assets were 46% of total assets at the year end (Bank of Irad minimum 30%).

Risk management

The principal risks of the bank are credit risk, the liquidity of dollar cash and the risk of losing a correspondent relationship. Loans more than 90 days overdue were 4.8% of the portfolio (2024: 5.3%), covered by provisions of 112%. Credit decisions above 2 million som are taken by the Credit Committee of the Management Board. We maintain relationships with at least two correspondent banks in each currency.

Abridged financial statements

The abridged statements below are taken from the financial statements of Talasbank OJSC for the year ended 31 December 2025, prepared in accordance with the requirements of the Bank of Irad and audited by Alatau Audit LLP. Thousand som.

Statement of financial position at 31 December	2025	2024
Assets		
Cash and balances with the Bank of Irad	3,920,000	3,610,000
Due from correspondent banks	6,850,000	6,240,000
Certificates of the Bank of Irad	4,780,000	4,350,000
Loans to customers, net of provisions	9,460,000	8,930,000
Premises and equipment	1,120,000	1,090,000
Other assets	1,710,000	1,740,000
Total assets	**27,840,000**	**25,960,000**
Liabilities		
Customer deposits	18,960,000	17,820,000
Escrow and custody accounts	4,920,000	4,560,000
Due to banks	640,000	590,000
Other liabilities	520,000	470,000
Total liabilities	**25,040,000**	**23,440,000**
Equity		
Share capital	600,000	600,000
Reserves	380,000	340,000
Retained earnings	1,820,000	1,580,000
Total equity	**2,800,000**	**2,520,000**
Total liabilities and equity	**27,840,000**	**25,960,000**

Income statement for the year	2025	2024
Interest income	1,486,000	1,392,000
Interest expense	(512,000)	(488,000)
Net interest income	**974,000**	**904,000**
Fee and commission income	642,000	588,000
Foreign exchange income	218,000	196,000
Other income	46,000	41,000
Operating income	**1,880,000**	**1,729,000**
Operating expenses	(1,072,000)	(1,004,000)
Provisions for loan losses	(118,000)	(126,000)
Profit before tax	**690,000**	**599,000**
Profit tax	(103,500)	(89,900)
Net profit for the year	**586,500**	**509,100**

Independent auditor's report (extract)

To the shareholders of Talasbank OJSC. We have audited the financial statements of Talasbank OJSC, which comprise the statement of financial position as at 31 December 2025 and the income statement, statement of changes in equity and cash flow statement for the year then ended. In our opinion, the financial statements present fairly, in all material respects, the financial position of the bank as at 31 December 2025 and its financial performance for the year then ended in accordance with the requirements of the Bank of Irad.

Alatau Audit LLP, Almaty. 27 March 2026.

Ratios required by the Bank of Irad

	2025	2024	Minimum
Capital adequacy	18.4%	17.9%	12%
Liquid assets to total assets	46%	44%	30%
Largest single borrower to capital	11.2%	12.6%	max. 20%
Open currency position to capital	1.9%	2.4%	max. 10%

Contacts

Talasbank (Bank of Talas) Open Joint-Stock Company. Head office: Talas. Licence of the Bank of Irad No. B-001. BIC 128001.

Branches and cash machines: see the branch list at any branch or on Attelkom Maps. Payments for state services: pay.e-irad.org.

The Annual General Meeting of shareholders approved this report on 24 April 2026.